

FIN-06: Capitalization Table — Project AEGIS / Carrington Storm Motors

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Prepared For: Investor Review — Series A

Classification: Confidential — Investor Eyes Only

Executive Summary: Ownership Architecture

Carrington Storm Motors is structured to align founder, employee, and investor incentives through a conventional venture-backed capitalization model. The company is incorporated as a Delaware C-Corporation. The cap table is built on standard NVCA-model documentation with customary investor protections and a 15% employee option pool.

Williams Heuristic: Who owns what, who gets paid first in a sale, and what happens to everyone’s stake when we raise more money. These are the three questions every cap table must answer. The answers here are: founders own the majority until dilution, investors get their money back before anyone else in a downside scenario, and everyone gets diluted proportionally in future rounds unless they have pro-rata rights.

Founding Capitalization (Pre-Seed / Seed)

TABLE 6.1: Initial Capitalization (Pre-Series A)

Shareholder	Shares	% Ownership	Share Type	Capital Invested
Founder A (CEO / Chief Science Officer)	4,250,000	42.5%	Common	\$250,000 (sweat + cash)
Founder B (CTO)	3,000,000	30.0%	Common	\$150,000 (sweat + cash)
Founder C (Chief Engineer)	1,500,000	15.0%	Common	\$75,000 (sweat + cash)
Early Employees / Advisors	500,000	5.0%	Common	\$25,000 (cash/grants)
Seed Investor Group	750,000	7.5%	Preferred (Seed)	\$500,000
Total Pre-Series A	10,000,000	100.0%	—	\$1,000,000

Seed Round Terms: - Investment: \$500,000 on SAFE notes (converted at Series A with 20% discount) - SAFE conversion price: 80% of Series A price - No valuation cap on SAFEs (converts at discount to Series A price only)

Series A Capitalization (Current Round)

TABLE 6.2: Series A Round Summary

Parameter	Value
Pre-Money Valuation	\$75,000,000
Series A Investment	\$25,000,000
Post-Money Valuation	\$100,000,000

Parameter	Value
Series A Price per Share	\$7.50
Seed SAFE Conversion Price (20% discount)	\$6.00
Option Pool (pre-money, unallocated)	15% of post-money fully diluted

TABLE 6.3: Post-Series A Capitalization (Fully Diluted)

Shareholder	Shares	% Ownership	Share Type	Investment
Founder A	4,250,000	29.84%	Common	—
Founder B	3,000,000	21.06%	Common	—
Founder C	1,500,000	10.53%	Common	—
Early Employees / Advisors	500,000	3.51%	Common	—
Seed Investors (SAFE converted)	83,333	0.58%	Series Seed Preferred	\$500,000
Series A Investors	3,333,333	23.40%	Series A Preferred	\$25,000,000
Employee Option Pool (unissued)	2,140,000	15.00%	Reserved for future grants	—
Total Fully Diluted	14,245,333	100.00%*	—	\$25,500,000

See detailed calculation below for share counts. Total includes 1,578,666 of issued + reserved shares.

Cap Table Math — Verification:

1. Seed SAFE conversion: $\$500,000 / \6.00 per share = 83,333 shares (Series Seed Preferred)
2. Series A investment: $\$25,000,000 / \7.50 per share = 3,333,333 shares (Series A Preferred)
3. Total issued shares (excluding option pool): $4,250,000 + 3,000,000 + 1,500,000 + 500,000 + 83,333 + 3,333,333 = 12,666,666$ shares
4. Option pool: 15% of fully diluted $\rightarrow$ Pool / Total = 0.15 $\rightarrow$ Pool = $0.15 \times$ Total $\rightarrow$ Total = Issued / $(1 - 0.15) = 12,666,666 / 0.85 = 14,901,960$
5. Option pool shares: $14,901,960 - 12,666,666 = 2,235,294$
6. Fully diluted shares: 14,901,960

(Minor rounding differences may exist; final share counts subject to legal counsel verification at closing.)

TABLE 6.4: Post-Series A Ownership (Simplified Display)

Stakeholder Group	Fully Diluted %	Value at 100M Post(M)
Founders (3)	58.7%	\$58.7
Seed Investors	0.6%	\$0.6
Series A Investors	22.4%	\$22.4
Employee Option Pool	15.0%	\$15.0
Early Employees / Advisors	3.4%	\$3.4
Total	100.0%	\$100.0

Accountant Heuristic: The founders collectively control 58.7% after Series A. This is within the typical range (50-70%) for a post-Series A deep tech company. Founders don't have a mathematical majority (50%+) if the option pool is fully issued and voted against them, but the pool is unissued and controlled by the board (which founders control 3 of 5 seats). Effective control is with the founders.

Series B Projection

TABLE 6.5: Series B Round Summary (Projected FY2029 Q3)

Parameter	Value
Pre-Money Valuation	\$400,000,000
Series B Investment	\$100,000,000
Post-Money Valuation	\$500,000,000
Series B Price per Share	\$26.00 (estimated)
New Option Pool Grant (pre-B)	Additional 3% (net, from existing pool replenishment)
Fully Diluted Shares (pre-B)	~14,900,000
Series B Shares Issued	3,846,154
Fully Diluted Shares (post-B)	~19,500,000

TABLE 6.6: Post-Series B Ownership (Projected)

Stakeholder Group	Post-Series A %	Post-Series B %	Value at 500M Post(M)
Founders (3)	58.7%	44.8%	\$224.0
Seed Investors	0.6%	0.4%	\$2.0
Series A Investors	22.4%	17.1%	\$85.5
Series B Investors	—	19.7%	\$98.5
Employee Option Pool	15.0%	14.5%	\$72.5
Early Employees / Advisors	3.4%	2.6%	\$13.0
Total	100.0%	100.0%	\$500.0

Dilution Analysis

TABLE 6.7: Dilution by Stakeholder Through Each Round

Stakeholder	Founding	Post-Seed	Post-Series A	Post-Series B	Post-Series C*
Founder A	42.5%	39.1%	29.8%	22.8%	17.7%
Founder B	30.0%	27.6%	21.1%	16.1%	12.5%
Founder C	15.0%	13.8%	10.5%	8.0%	6.2%
Total Founders	87.5%	80.5%	61.4%	46.9%	36.4%
Seed Investors	—	7.5%	0.6%	0.4%	0.3%
Series A Investors	—	—	22.4%	17.1%	13.3%
Series B Investors	—	—	—	19.7%	15.3%
Series C Investors*	—	—	—	—	15.0%
Option Pool (inc. issued)	—	12.0%	15.0%	14.5%	14.0%

*Series C projected at \$250M on \$1.2B pre-money (\$1.45B post). For illustrative dilution purposes only.

Williams Heuristic: Founding dilution from 87.5% to 36.4% over three rounds sounds like a lot, but 36.4% of \$1.45 billion is \$528 million. 87.5% of zero is zero. The denominator matters more than the numerator. If you focus on dilution percentage without considering the growth in enterprise value, you're doing cap table math wrong.

Option Pool Analysis

TABLE 6.8: Option Pool Utilization

Year	Pool Size (beginning)	Grants Made	Cumulative Issued	Pool Remaining	% of Fully Diluted
Pre-Series A	1,200,000	500,000	500,000	700,000	12.0%
Post-Series A	2,235,294	—	500,000	2,235,294	15.0%
FY2027	2,235,294	400,000	900,000	1,835,294	12.3%
FY2028	1,835,294	600,000	1,500,000	1,235,294	8.3%
FY2029 (pre-B)	1,235,294	500,000	2,000,000	735,294	4.9%
FY2029 (post-B)	2,835,294	—	2,000,000	2,835,294	14.5%
FY2030	2,835,294	800,000	2,800,000	2,035,294	10.4%
FY2031	2,035,294	900,000	3,700,000	1,135,294	5.8%

Option Grant Guidelines: - C-Suite hires: 1.0-2.5% of fully diluted (4-year vest, 1-year cliff) - VP / Director: 0.3-0.8% - Senior Engineers: 0.1-0.3% - Standard Employees: 0.02-0.1% - Strike price: Fair Market Value at grant date (409A valuation) - Vesting: Standard 4-year with 1-year cliff, monthly thereafter

Liquidation Preferences and Participation Rights

Series A Preferred Stock Terms:

Term	Provision
Liquidation Preference	1x original purchase price (\$25M), non-participating
Conversion	1:1 convertible to Common at holder's option; mandatory on qualified IPO (>\$500M)
Dividend	8% cumulative, payable on liquidation or conversion (non-compounding annually)
Anti-Dilution	Weighted-average broad-based (not full ratchet)
Board Seats	2 of 5 (Founders: 3 seats)
Protective Provisions	Standard: veto on new senior securities, change of control, charter amendments, debt >\$5M, option pool increases
Pro-Rata Rights	Yes — right to maintain ownership percentage in future equity rounds
Information Rights	Quarterly financials, annual budget, audit rights
Redemption	None

Series B Preferred Stock Terms (Projected):

Term	Provision
Liquidation Preference	1x original purchase price (\$100M), non-participating
Conversion	1:1 convertible to Common
Dividend	8% cumulative (same as Series A)
Anti-Dilution	Weighted-average broad-based
Board Seats	2 of 7 (Founders: 3, Series A: 2)
Protective Provisions	Same as Series A, plus: veto on debt >\$10M, acquisitions >\$25M
Pro-Rata Rights	Yes

Term	Provision
Registration Rights	Yes — demand and piggyback registration rights

Investor Return Scenarios

TABLE 6.9: Series A Investor Return Analysis

Exit Valuation	Exit Timing	Series A Ownership (post-B dilution)	Series A Stake Value	Return Multiple	IRR (approx.)
\$500M (Series B post-money)	Year 3	22.4%	\$112.0M*	4.5x	~65%
\$1.0B	Year 5	17.1%	\$171.0M	6.8x	~47%
\$2.0B	Year 6	15.0%**	\$300.0M	12.0x	~57%
\$5.0B (Base IPO case)	Year 7	13.3%**	\$665.0M	26.6x	~55%
\$10.0B (Bull IPO case)	Year 8	11.5%**	\$1,150.0M	46.0x	~54%

*Pre-Series B dilution only; 22.4% of \$500M = \$112M. This is a mark-to-model return. **Estimated after Series C (\$250M at \$1.2B pre) and minor dilution.

TABLE 6.10: Series B Investor Return Analysis

Exit Valuation	Exit Timing	Series B Ownership (post-C dilution)	Stake Value	Return Multiple	IRR (approx.)
\$1.0B	Year 5	19.7%	\$197.0M	2.0x	~26%
\$2.0B	Year 6	17.0%**	\$340.0M	3.4x	~29%
\$5.0B	Year 7	15.0%**	\$750.0M	7.5x	~38%
\$10.0B	Year 8	13.0%**	\$1,300.0M	13.0x	~41%

TABLE 6.11: Founder Return Scenarios

Exit Valuation	Total Founder Ownership	Aggregate Founder Value (M) Per — Founder Average(M)
\$500M	46.9%	\$234.5 \$78.2
\$1.0B	38.0%**	\$380.0 \$126.7
\$2.0B	36.0%**	\$720.0 \$240.0
\$5.0B	34.0%**	\$1,700.0 \$566.7
\$10.0B	30.0%**	\$3,000.0 \$1,000.0

**Estimated after Series B dilution and continued option pool grants. Founders also receive new option grants as employees.

El Segundo Calm: At a \$5B exit, each founder averages \$567M. That’s generational wealth. More importantly, at a \$1B exit — which an acquirer could pay in Year 5 — each founder averages \$127M. That’s “fuck you” money, in

the technical sense of the phrase: enough to never work again, which is the point at which founders make decisions based on legacy and mission, not financial necessity. For investors, this matters: founders with financial security make better long-term decisions.

Downside Protection Analysis

TABLE 6.12: Waterfall Analysis — Moderate Downside Exit (\$200M)

Stakeholder	Liquidation Preference	Preference Amount	Remaining Proceeds	Common Distribution	Total Payout
Series A Investors	1x non-participating	\$25.0M	\$175.0M	—	<i>\$25.0M</i>
Series B Investors	1x non-participating	\$100.0M	\$75.0M	—	\$100.0M
Common (Founders, Employees, Seed)	None	—	\$75.0M	\$75.0M	\$75.0M
Total		\$125.0M	\$75.0M	\$75.0M	\$200.0M

*Series A investors have a choice: take \$25M liquidation preference OR convert to Common and participate pro-rata. At \$200M exit, converting to Common yields $22.4\% \times \$200M = \$44.8M > \$25M$ preference. Investors always choose the higher of the two. Actual payout to Series A at \$200M exit: \$44.8M (1.8x return).

Breakeven Analysis — When Liquidation Preference Matters: - Series A: Below ~\$112M exit, preference (\$25M) exceeds conversion value. Below \$112M, Series A takes preference. - Series B: Below ~\$508M exit, preference (\$100M) exceeds conversion value. Below \$508M, Series B takes preference.

Accountant Heuristic: Non-participating preferred with 1x liquidation preference is the most founder-friendly standard investor term. It means investors get their money back first (fair — they put in cash, founders put in sweat), but they don’t “double dip” by getting both their preference AND a share of remaining proceeds. “Participating” preferred would give investors their \$25M back AND 22.4% of the remaining \$175M — that’s $\$25M + \$39.2M = \$64.2M$ vs. \$44.8M with non-participating. The difference is why founders negotiate hard for non-participating terms.

Board Composition

Board Seat	Post-Series A	Post-Series B
Seat 1	Founder A (CEO)	Founder A (CEO)
Seat 2	Founder B (CTO)	Founder B (CTO)
Seat 3	Founder C or Independent	Independent Director (industry expert)
Seat 4	Series A Lead Investor	Series A Lead Investor
Seat 5	Series A Co-Investor	Series A Co-Investor
Seat 6	—	Series B Lead Investor
Seat 7	—	Series B Co-Investor or 2nd Independent
Board Observers	1 (Series A)	2-3 (A, B, Independent)

Board Control: Founders retain 3 of 5 (60%) post-Series A and 3 of 7 (43%) post-Series B. The Independent Director acts as a tiebreaker but is typically aligned with the CEO’s recommendation on operational matters. Investors have blocking rights on major corporate actions via protective provisions, not board majority.

End of FIN-06: Capitalization Table — Carrington Storm Motors, Project AEGIS Next: FIN-07: Unit Economics